

Long live cash! Even as cashless is in

Even if no more the king it once was, demand for cash remains strong, despite **the strides taken** in digital payments. The **inherent contradiction** should not be difficult to **resolve**, **given** the rate of economic growth that **fuels** demand for both cash and cashless transactions. **Inflation** has an impact on demand for cash by affecting the opportunity cost of holding it. **Demographics**, too, **plays** a role. Older people prefer to deal in cash over tech-enabled payment **mechanisms**. **Degree** of **formalisation of the economy** also **has a bearing**, with **financial exclusion** acting as a **constraint** to cashless transactions.

Concentration of demand for cash among **populous** Indian states **can** be **traced back to reverse migration** during the pandemic, and the **consequent surge** of currency in circulation. The event has had **a long tail**, with rural incomes taking much longer to recover to pre-pandemic levels. This affects cash-holding behaviour, as does spending patterns that **spike** with festivals. **Consolidation** among **state-owned** banks **has** contributed to the need for bigger cash holdings by regulating the numbers of ATMs in **remote** locations. India also experiences a rise in currency demand during elections. Since these are spread out over the year, this acts as a **prop** for cash.



Economic factors for currency demand **are** **persistent** forces, with behavioural effects being less significant. By this **yardstick**, cash transactions will **eventually** decrease as a share of the **nominal GDP**. There may, however, be scope for policy to **address** the behavioural motives for holding cash. A young **population** with access to technology **should** influence the cultural preference for dealing in cash, as will progressive urbanisation. India is part of a global **phenomenon** of rising demand for cash, including in **advanced economies** with almost **universal** access to banking services. Further **integration** into the global economy **will** create demand for Indian currency outside the country, even as current domestic factors lose some of their **significance**. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

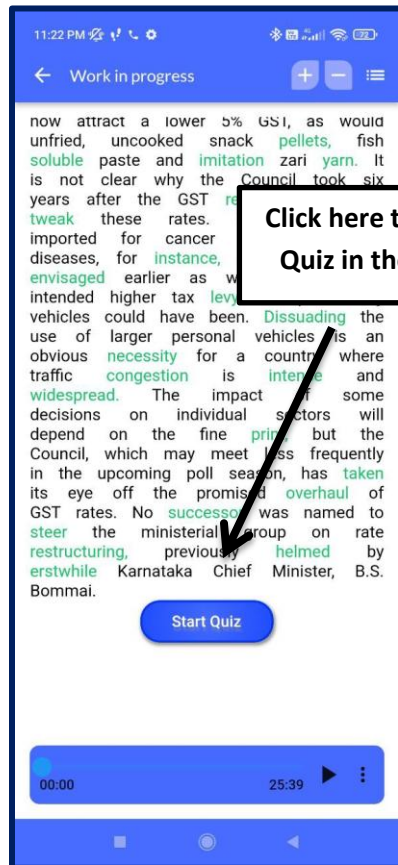
1. **Take a stride** (phrase) – Make progress, advance, move ahead, forge forward, take steps प्रगति करना
2. **Inherent** (adjective) – Innate, intrinsic, natural, built-in, essential अंतरनिहित / स्वाभाविक
3. **Contradiction** (noun) – Inconsistency, conflict, paradox, opposition, discrepancy विरोधाभास
4. **Resolve** (verb) – Settle, solve, clear up, fix, iron out सुलझाना
5. **Given** (preposition) – Considering, in view of, taking into account, based on, owing to को देखते हुए
6. **Fuel** (verb) – Drive, boost, stimulate, trigger, energize बढ़ावा देना / प्रेरित करना
7. **Inflation** (noun) – a general increase in prices and fall in the purchasing value of money. महंगाई
8. **Demographic** (noun) – Population group, segment, age group, census category, social section जनसांख्यिकीय समूह
9. **Mechanism** (noun) – System, process, method, structure, arrangement तंत्र / प्रक्रिया
10. **Degree** (noun) – Level, extent, amount, intensity, magnitude स्तर
11. **Formalisation of the economy** (noun) – Organised structuring, systematisation, regulation, legalisation, official inclusion अर्थव्यवस्था का औपचारिकरण
12. **Have a bearing** (phrase) – Influence, affect, relate to, connect with, impact प्रभाव डालना
13. **Financial exclusion** (noun) – it refers to the inability or difficulty that individuals and groups face in accessing and utilizing mainstream financial services. वित्तीय बहिष्करण
14. **Constraint** (noun) – Limitation, restriction, barrier, hindrance, obstacle बाधा / रुकावट
15. **Populous** (adjective) – Densely populated, crowded, inhabited, thickly settled, overpopulated घनी आबादी वाला
16. **Trace back to** (phrase) – Link to, originate from, relate to, go back to, connect to पीछे का पता लगाना
17. **Reverse Migration** (noun) – situation in which migrant person wants move back to his own city or village from where he belong वापसी प्रवासन
18. **Consequent** (adjective) – Resulting, following, ensuing, subsequent, derived परिणामी

19. **Surge** (noun) – Rise, increase, spike, upsurge, escalation उछाल / वृद्धि
20. **A long tail** (noun) – Lingering effect, prolonged impact, extended result, sustained outcome, delayed consequence लंबा असर / दीर्घकालिक प्रभाव
21. **Spike** (verb) – Rise sharply, increase suddenly, shoot up, escalate, jump अचानक वृद्धि होना
22. **Consolidation** (noun) – Merger, unification, integration, centralization, strengthening एकीकरण / सुदृढीकरण
23. **State-owned** (adjective) – Government-owned, public sector, nationalized, publicly held, centrally controlled सरकारी
24. **Remote** (adjective) – Distant, far-off, isolated, inaccessible, outlying दूरस्थ / दुर्गम
25. **Prop** (noun) – Support, reinforcement, aid, backing, stabilizer समर्थन
26. **Persistent** (adjective) – Continuing, enduring, constant, ongoing, unrelenting लगातार / स्थायी
27. **Yardstick** (noun) – Standard, benchmark, measure, criterion, gauge मानदंड
28. **Eventually** (adverb) – Ultimately, finally, in the end, after a while, at last अंततः
29. **Nominal GDP** (noun) – represents the total value of goods and services produced within a country's borders during a specific time period, typically a year, calculated using current market prices मूल्य-आधारित सकल घरेलू उत्पाद
30. **Address** (verb) – Tackle, deal with, respond to, attend to, resolve समाधान करना
31. **Phenomenon** (noun) – Occurrence, event, trend, development, happening घटना
32. **Advanced economies** (noun) – Developed nations, high-income countries, industrialized economies, matured markets, wealthy nations विकसित अर्थव्यवस्थाएं
33. **Universal** (adjective) – Widespread, global, common, all-encompassing, general व्यापक
34. **Integration** (noun) – Unification, combination, inclusion, assimilation, coordination एकीकरण
35. **Significance** (noun) – Importance, meaning, relevance, value, consequence महत्त्व / महत्वता

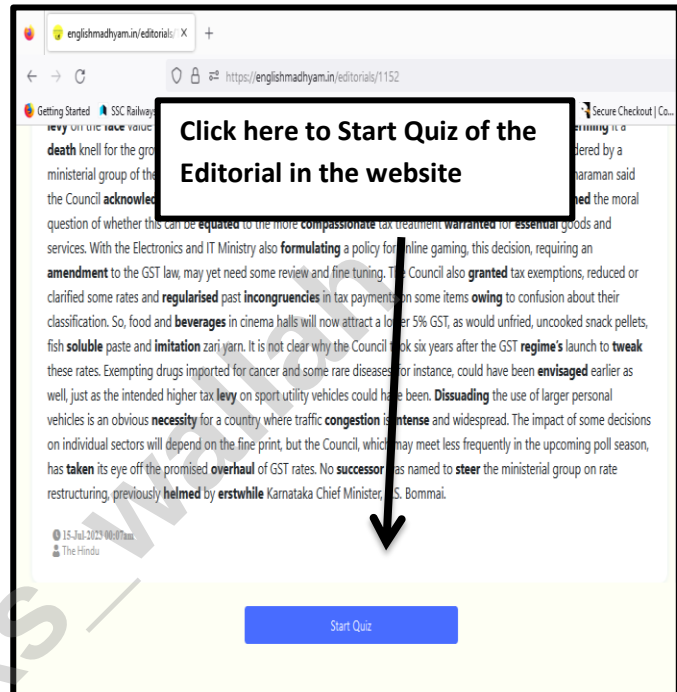
Summary of the Editorial

1. Cash remains in strong demand despite the significant growth and adoption of digital payments.
2. Economic growth fuels both cash and cashless transactions simultaneously.
3. Inflation impacts cash demand by influencing the opportunity cost of holding currency.
4. Demographics matter—older generations prefer cash over digital methods.
5. Level of economic formalisation affects cash usage; financial exclusion limits digital transactions.
6. Reverse migration during the pandemic led to increased demand for cash in populous states.
7. Rural income recovery has been slow, prolonging reliance on cash in such areas.
8. Festival-related spending spikes also raise demand for currency.
9. Consolidation of state-owned banks has reduced ATM availability, especially in remote areas, increasing the need to hold more cash.
10. Elections cause temporary surges in cash demand; India has frequent polls throughout the year.
11. Persistent economic factors are more influential than behavioural habits in driving currency demand.
12. Cash use is expected to decline as a share of GDP over time.
13. Policy can help influence behaviour, especially regarding cultural preferences for cash.
14. Youth and urbanisation are likely to boost digital payment adoption over time.
15. Global trend mirrors India—even advanced economies are seeing rising cash demand, and India's integration with the global economy could boost international demand for its currency.

Practice Exercise: Banking Pattern Based



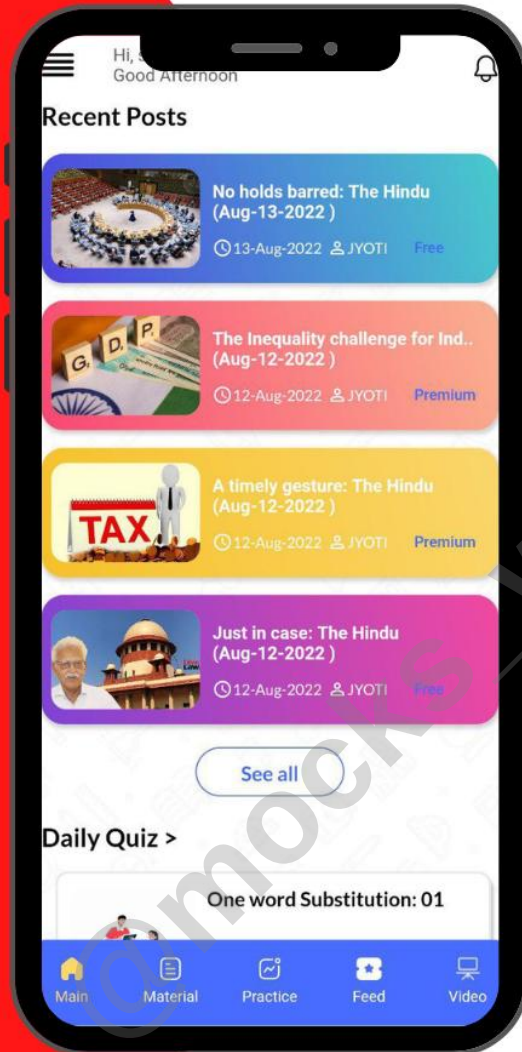
Click here to Start Quiz in the App



Click here to Start Quiz of the Editorial in the website

[Click here to download App](#)

[Click here to visit website](#)



Learn Vocabulary Through Reading Articles

English Madhyam